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In the Supreme Court of the United States

OCTOBER TERM, 1995

UNITED STATES OF AMERICA, PETITIONER

v.

WINSTAR CORPORATION, ET AL.

ON WRIT OF CERTIORARI
TO THE UNITED STATES COURT OF APPEALS
FOR THE FEDERAL CIRCUIT

BRIEF FOR THE PETITIONER

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QUESTIONS PESENTED

1. Whether the unmistakability doctrine, which provides that a contract with the government will be interpreted as including a promise by the government not to exercise sovereign regulatory authority only if such a promise is stated in unmistakable terms, is applicable in a breach of contract action in which the plaintiff seeks money damages.

2. Whether, absent a specific congressional authorization to do so, a federal agency has authority to bind itself and its successors by contract to exercise governmental regulatory authority in a particular way, regardless of subsequent legislative changes.

3. Whether the provisions of the Financial Institutions Reform, Recovery, and Enforcement Act of 1989 (FIRREA), Pub. L. No. 101-73, 103 Stat. 183, limiting the ability of thrift institutions to use intangible assets to satisfy minimum capitalization requirements, were "public and general acts" for purposes of the sovereign acts doctrine.

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OPINIONS BELOW

The en banc opinion of the court of appeals (Pet. App. 1a-52a) is reported at 64 F.3d 1531. The panel opinion of the court of appeals (Pet. App. 53a-105a) is reported at 994 F.2d 797. The opinions of the Court of Federal Claims (Pet. App. 106a-152a, 153a-180a, 181a-182a, 183a-195a) are reported at 21 Cl. Ct. 112, 25 Cl. Ct. 147, 25 Cl. Ct. 541, and 26 Cl. Ct. 904.

JURISDICTION

The judgment of the en banc court of appeals was entered on August 30, 1995. On November 22, 1995, Chief Justice Rehnquist extended the time for filing a petition for a writ of certiorari to and including December 6, 1995. The petition for a writ of certiorari was filed on December 1, 1995, and was granted on January 19, 1996. 116 S. Ct. 806 (J.A. 648). The jurisdiction of this Court rests on 28 U.S.C. 1254(1).

(1)

STATUTORY PROVISIONS INVOLVED

The relevant provisions of the Financial Institutions Reform, Recovery, and Enforcement Act of 1989, Pub. L. No. 101-73, 103 Stat. 183, and its implementing regulations are set forth in an appendix to the petition. Pet. App. 196a-211a.

STATEMENT

This case concerns three separate cases that were consolidated for appeal before the Federal Circuit. The three cases involve a common background and similar legal issues.

1. Savings and loan institutions or "thrifts" have been the subject of pervasive federal support, supervision, and regulation since the 1930s. See *Fahey v. Mallonee*, 332 U.S. 245, 250 (1947) ("Banking is one of the longest regulated and most closely supervised of public callings"). The modern thrift industry is "a federally-conceived and assisted system to provide citizens with affordable housing funds." H.R. Rep. No. 54, 101st Cong., 1st Sess., Pt. 1, at 292 (1989) (*House Report*).

In the late 1970s and early 1980s, high interest rates and inflation resulted in a substantial increase in the cost of funds for thrifts. Many thrifts held long-term, low-yielding, fixed-rate mortgages. This "'negative' interest rate mismatch" precipitated a crisis in the thrift industry. See *House Report* 294-295. Many thrifts were left with severely depleted capital or negative net worth. In these circumstances, "the easiest way to regain profitability and generate adequate levels of new capital, was to grow rapidly"; as a result, thrifts frequently sought to increase the size of their loan portfolios, thus putting even more of their depositors' money at risk. *Id.* at 298-299; S. Rep. No. 19, 101st Cong., 1st Sess. 9 (1989). The result was a record number of failures of thrift institutions and a widespread loss of public confidence.

2. The Financial Institutions Reform, Recovery, and Enforcement Act (FIRREA), Pub. L. No. 101-73, 103 Stat. 183, was enacted in 1989 to prevent the collapse of the thrift industry and to restore it to economic health. Under FIRREA, Congress has appropriated well over \$100 billion to close insolvent institutions and recapitalize the federal insurance fund that protects thrift deposits.

FIRREA overhauled the federal thrift regulatory scheme by: (1) abolishing the Federal Savings and Loan Insurance Corporation (FSLIC) and transferring its functions to other agencies; (2) creating a new thrift deposit insurance fund under the Federal Deposit Insurance Corporation (FDIC); (3) eliminating the Federal Home Loan Bank Board (the Bank Board) and replacing it with the Office of Thrift Supervision (OTS)—an office within the Department of the Treasury—with responsibility for the regulation of all federally insured savings associations; and (4) establishing the Resolution Trust Corporation (RTC), charged with liquidating or otherwise disposing of certain closed thrifts and their assets. See 12 U.S.C. 1437 note, 1441a, 1821.

At the "heart" of this legislative reform (135 Cong. Rec. 18,863 (1989) (Sen. Riegle)) was the mandate that OTS "prescribe and maintain uniformly applicable capital standards for savings associations" subject to strict statutory requirements (12 U.S.C. 1464(t)(1)(A)). See also 135 Cong. Rec. 18,860 (1989) (Sen. Chafee) (capital standards the "most critical requirement" of FIRREA and "the backbone of the legislation"). Prior federal regulations had imposed requirements on federally insured institutions, including restrictions on what can be counted as capital in meeting those requirements.¹

¹ Capitalization requirements have been the subject of numerous statutory and regulatory changes over the years. See, e.g., Garn-St Germain Depository Institutions Act of 1982, Pub. L. No. 97-320, 96 Stat. 1469; Depository Institutions Deregulation and Monetary Control Act of 1980, Pub. L. No. 96-221, 94 Stat. 132; Emergency Home Finance Act of 1970, Pub. L. No. 91-351, 84

FIRREA prescribed three strict new minimum capital requirements that thrifts must satisfy to avoid the threat of closure. See 12 U.S.C. 1464(t)(2) (requirements for "core capital," "tangible capital," and "risk-based capital"), *reprinted at* Pet. App. 197a-198a. The new minimum capital requirements were necessary in order to prevent a recurrence of the thrift crisis, since, "[t]o a considerable extent, the size of the thrift crisis resulted from the utilization of capital gimmicks that masked the inadequate capitalization of thrifts." *House Report* 310.

For at least several years prior to 1981 and until the enactment of FIRREA, the Bank Board had permitted thrifts to use "goodwill" to satisfy federal regulatory capital requirements. Goodwill is an intangible "asset" that, under Generally Accepted Accounting Principles (GAAP), equals the amount by which the cost of an acquisition (including all liabilities assumed by the acquirer) exceeds the fair market value of the acquired tangible assets. See Accounting Principles Board Opin. No. 16, ¶¶ 11 and 87 (1970). In the context of a supervisory merger or acquisition, when such goodwill was created it was known as "supervisory goodwill."² Thus, the books of the surviving thrift could carry as an asset the net worth deficit of the acquired or merged thrift.

Another type of intangible asset involved in this case is Regulatory Accounting Practices (RAP) goodwill, or "capital credits." RAP goodwill was created when the Bank Board allowed double counting of funds that FSLIC contributed to merging thrifts, permitting such funds to be counted both as cash and again as goodwill for purposes of meeting regulatory capital requirements.

Stat. 450. In 1982 alone, the regulations governing thrift capital reserve requirements changed three times. See 47 Fed. Reg. 3543; *id.* at 31,859; *id.* at 52,961. See also 45 Fed. Reg. 72,681 (1980) (Bank Board proposal to change regulatory treatment of goodwill).

² We use the term "supervisory goodwill" to refer to goodwill that is created in accordance with GAAP in a supervisory transaction.

See *Security Sav. & Loan v. Director, OTS*, 960 F.2d 1318, 1320 n.5 (5th Cir. 1992); *Transohio Sav. Bank v. Director, OTS*, 967 F.2d 598, 604 (D.C. Cir. 1992).

FIRREA severely restricted the ability of thrifts to continue to use intangible "assets" like supervisory goodwill or capital credits to meet the statute's new minimum capital requirements. 12 U.S.C. 1464(t)(1)(A), (2), (3), and (9); 12 C.F.R. 567.2, 567.5. As Congress recognized, "[g]oodwill is not cash. It is a concept, and a shadowy one at that. When the Federal Government liquidates a failed thrift, goodwill is simply no good. It is valueless. That means, quite simply, that the taxpayer picks up the tab for the shortfall." 135 Cong. Rec. 11,795 (1989). In addition, the undercapitalization of thrifts that results from counting goodwill as an asset results in "excessive risks because of the perception [by the thrift's managers] that the FSLIC insurance fund will pay a substantial portion of the costs if the gamble fails." *House Report* 298. See also H.R. Conf. Rep. No. 222, 101st Cong., 1st Sess. 404 (1989) ("[A]n adequate capital requirement will provide the self-restraint necessary to limit risk-taking by federally insured savings associations.")³

3. Respondents are the owners of two now-defunct thrift institutions (United Federal Savings Bank, which was owned by plaintiff Winstar Corporation, and Statesman Bank for Savings, which was owned by plaintiff

³ Although it places strict limits on the use of goodwill and other intangible assets to meet federal capital requirements, FIRREA does not eliminate such use altogether. FIRREA allowed some supervisory goodwill to be used to satisfy some federal capital requirements for a limited period of time, and it permits goodwill to be counted for the purpose of determining the extent to which thrifts may make certain types of loans and investments. See, e.g., 12 U.S.C. 1464(c)(2)(A), 1464(t)(3). Limited discretion was given to OTS on this subject; the statute itself sets forth most of the restrictions on the use of intangible assets like goodwill. See *Carteret Savings Bank v. OTS*, 963 F.2d 567, 574-582 (3d Cir. 1992).

Statesman Savings Holding Corp.) and one currently operating thrift, Glendale Federal Bank, FSB. Following enactment of FIRREA, respondents filed three separate actions against the United States in the Court of Federal Claims, seeking monetary relief for asserted breach of contract or frustration of purpose caused by FIRREA, or seeking just compensation for a claimed taking by FIRREA of constitutionally protected property rights.⁴ Respondents based their contract claims primarily on agreements that they signed with FSLIC, and on regulatory resolutions and letters issued by the Bank Board. The material facts in the three cases are not identical, but they raise similar legal issues.

In each of the cases, a thrift voluntarily merged with or acquired one or more failing thrifts. This occurred in 1981 (Glendale), 1984 (Winstar), and 1988 (Statesman). Pet. App. 8a, 9a, 11a. In each instance, the thrifts needed the regulatory approval of the Bank Board for the merger or acquisition. See 12 U.S.C. 1464, 1726 (1988); 12 C.F.R. 546.2, 563.22 (1982). That approval was given in resolutions adopted by the Bank Board. In each instance, the thrift and FSLIC also entered into an agreement setting the terms of the transaction and specifying the actual or potential governmental assistance that would be provided.⁵

Goodwill was created in each of the three transactions. Statesman was permitted to count \$26 million of the \$60 million federal cash contribution to Statesman's acquisi-

⁴ Both courts below held that there had been a breach of contract and that respondents were entitled to contract damages. They did not reach respondents' frustration of purpose or just compensation claims, and those claims are not before this Court.

⁵ In *Winstar*, the government contributed more than \$5.5 million to the transaction, Pet. App. 194a, and in *Statesman*, the government contributed \$60 million, *id.* at 10a. Glendale received a number of benefits, including a government guarantee against the effects of rising interest rates for a period of four years. See p. 43, *infra*.

tions as a capital credit. *Glendale* involved \$716 million in supervisory goodwill, Pet. App. 9a; *Winstar* involved \$9.1 million in supervisory goodwill, *id.* at 28a, 171a; and *Statesman* involved \$25.8 million in supervisory goodwill, *id.* at 10a.

FIRREA's new capital requirements became effective when implementing regulations were promulgated by the Office of Thrift Supervision on December 7, 1989. See 54 Fed. Reg. 46,845 (1989). Under FIRREA, the intangible assets at issue that were created in the three transactions could not continue to be counted as capital after a brief phase-out period. The *Winstar* and *Statesman* thrifts, like many other thrifts at the time, were unable to meet the new statutory capitalization requirements, and were placed in receivership; they no longer exist. *Glendale* raised the necessary new capital in private markets and has remained an operating thrift. Pet. App. 14a.

4. In each of these three cases, the Court of Federal Claims held that the subject thrift had a contract with the government promising favorable long-term regulatory treatment of goodwill, and that FIRREA had breached that contract by restricting the use of goodwill to meet the new capitalization requirements.

In *Winstar*, the court held that the thrift had an implied-in-fact contract with the government concerning the treatment of goodwill. Pet. App. 187a. The court rejected the government's argument that any alleged contract between *Winstar* and FSLIC concerning future government regulation of *Winstar* should be interpreted under the "unmistakability doctrine" derived from this Court's decision in *Bowen v. Public Agencies Opposed to Social Security Entrapment (POSSE)*, 477 U.S. 41, 52-53 (1986), and other cases. That doctrine provides that the government will be held to have contracted not to exercise its sovereign regulatory authority in the future only if a contract expresses that intent in unmistakable terms. Pet. App. 157a-170a. The court found the unmistakability doctrine inapplicable because plaintiffs' claims were for

money damages rather than injunctive relief. *Id.* at 169a-170a. The court then went on to conclude that FIRREA had breached the implied contract by restricting the extent to which the government would count Winstar's goodwill as capital for purposes of meeting regulatory requirements. *Id.* at 171a-172a.

The court also rejected the government's argument that there could be no liability for breach of contract because of the "sovereign acts" doctrine, which precludes breach of contract actions against the government where the government's inability to perform was the result of a "public and general act" of Congress. The court found this doctrine inapplicable because it believed that FIRREA was not a "public and general act" insofar as it abrogated contracts that permitted the use of supervisory goodwill to satisfy federal capital requirements. Pet. App. 173a-179a. The court stated that, in subsequent proceedings, it would determine the amount of the plaintiffs' injuries, if any, and the appropriate damages. *Id.* at 180a.

The court relied on its *Winstar* rulings in its subsequent rulings in *Statesman* and *Glendale*. It held that the plaintiffs in those cases had express contracts with the government concerning future regulatory treatment of goodwill. Pet. App. 120a-125a. The court concluded that the contracts had been breached by FIRREA. It consolidated the two cases, combined them with *Winstar*, and certified its liability determinations for immediate interlocutory appeal. *Id.* at 150a-152a.

5. The Federal Circuit accepted the consolidated cases for interlocutory appeal, and a divided panel reversed the decision of the Court of Federal Claims. Pet. App. 53a-105a. The panel held that the plaintiffs had failed to meet the unmistakability doctrine's high standard for showing that their contracts contained terms promising them a specified form of favorable regulatory treatment for lengthy periods stretching well into the next century. The Federal Circuit then granted respondents' petitions for rehearing *en banc*. After rebriefing and reargument,

the court reversed the panel decision and affirmed the Court of Federal Claims' ruling on liability. *Id.* at 1a-52a.

The Federal Circuit held that the express contracts that FSLIC had made with all three thrifts included promises that each thrift could count supervisory goodwill (and that Statesman could count capital credits as well) as capital for purposes of satisfying federal capital requirements. Pet. App. 17a-29a. In Statesman's case, the court rested its conclusion on Statesman's Assistance Agreement, which permitted it to use \$26 million of capital credits to satisfy federal capital requirements. *Id.* at 24a. As noted above, however, none of the Assistance Agreements contained provisions permitting supervisory goodwill to be similarly used. The court held, however, that each thrift's "contract was not limited to the [Assistance Agreement] itself, but also included the contemporaneous resolutions and letters issued by the FSLIC and the Bank Board." *Id.* at 17a (Glendale); see *id.* at 25a (Statesman), 27a (Winstar). In each case, the court interpreted the specification of an amortization period in those documents as constituting a promise that supervisory goodwill could continue to be counted for the length of that period to satisfy regulatory capital requirements, despite future changes in the law. In the case of Glendale, the amortization period was 40 years; in the case of Statesman, 25 years; in the case of Winstar, 35 years. *Id.* at 18a-22a (Glendale), 25a-26a (Statesman), 28a (Winstar). The court then held that FSLIC and the Bank Board had the authority to enter into contracts containing those terms, by virtue of FSLIC's general statutory power "[t]o make contracts," see 12 U.S.C. 1725(c)(3) (1988) (repealed), and the authority of FSLIC and the Bank Board "to extend assistance to acquirers of insolvent FSLIC-insured thrifts * * * and to set minimum capital limits on a case-by-case basis." Pet. App. 39a.

The Federal Circuit declined to apply the unmistakability doctrine in interpreting the contracts in this case; it agreed with the Court of Federal Claims that the un-

mistakability doctrine is inapplicable where plaintiffs seek only money damages. Pet. App. 31a-38a. The court of appeals also held the sovereign acts doctrine inapplicable; in the court's view, FIRREA cannot be said to be a "public" and "general act" because it "singles out supervisory goodwill for special treatment, albeit treatment less harsh than other forms of intangible assets." *Id.* at 42a.

Judge Nies dissented, essentially for the reasons given in her prior opinion for the panel. Pet. App. 47a-48a. In her view, "no clause can be found in the contracts under which the Bank Board and the FSLIC promised to pay if Congress decided to step in and do away with the 'purchase method of accounting,' a euphemism for spinning straw into gold, and other accounting gimmicks." *Id.* at 48a. Therefore, "[i]n this highly regulated industry, the thrifts did not negotiate contracts that freed them from the risk of a change in regulations." *Ibid.* She also stated that the majority's approach "impermissibly fuses 'the two characters which the government possesses as a contractor and as a sovereign.'" *Id.* at 47a (quoting *Horowitz v. United States*, 267 U.S. 458, 461 (1925)). In her view, the thrifts' sole possible remedy at this point was to seek compensation for a taking, and she believed that the matter should be remanded to the trial court for a determination of whether a taking had occurred. Pet. App. 47a.

Judge Lourie also dissented. Pet. App. 49a-52a. He believed that "the sovereign acts doctrine is a barrier to the thrifts' recovery under a breach of contract theory." *Id.* at 49a. In his view, FIRREA was a public and general act because "Congress did not act only against certain thrifts or contracts; it acted to deal with the entire thrift system in order to save it." *Id.* at 50a-51a.

SUMMARY OF ARGUMENT

I. Under respondents' theory, the FSLIC agreements and Bank Board letters and resolutions authorizing their transactions constituted binding contractual commitments

that, regardless of any change in the governing statutes, the government would continue to allow them to count goodwill to satisfy federal regulatory capital requirements well into the next century. Respondents thus contend that the government entered into contract provisions promising that it would exercise its sovereign regulatory powers in a particular way for 25 to 40 years (or, in the case of Statesman's capital credit, indefinitely). Such highly unusual contractual commitments are strongly disfavored. Under the unmistakability doctrine, they must, if they are to be recognized at all, be expressed clearly and unmistakably in the language of the contractual documents. That standard is not satisfied here.

Contracts entered into by government regulators with private parties promising specific regulatory treatment in the future may harmfully limit the ability of government to act to serve the public interest. The unmistakability doctrine protects against that danger. It helps to ensure that public officials who enter into contracts—and others who review them—are fully aware of the serious step they are taking before they agree that the government will not exercise sovereign regulatory authority in the future. It also ensures that, where there is any possible ambiguity, courts do not mistakenly construe contracts to restrict the government's regulatory authority.

The Federal Circuit held the unmistakability doctrine inapplicable in this case because it believed that suits for contract damages, unlike suits for injunctions, do not threaten the government's exercise of sovereign regulatory authority. That holding is incorrect. This Court's cases make clear that the unmistakability doctrine governs the *interpretation* of the promises made in a contract, not the *relief* to be afforded for a breach. The unmistakability doctrine protects against requiring the public to pay in damages for the privilege of changing government policy, just as it protects against injunctions precluding such alterations altogether.

The contract provisions on which the Federal Circuit relied in this case do not in fact contain promises that respondents' goodwill will continue to be counted for purposes of satisfying federal regulatory capital requirements. With the exception of a reference to Statesman's capital credits, the Assistance Agreements include no express promises regarding goodwill at all. And even if those Agreements are read to include Bank Board resolutions and forbearance letters, the relevant portions of those documents contain directives as to what respondents must do to comply with current regulatory policy, not commitments by the government to continue to permit goodwill to be counted as capital. In addition, each of the contracts makes quite clear in other provisions that the risk of subsequent legislative change was to be borne by respondents. Those provisions establish that respondents never obtained the promises they allege, even under ordinary principles of contract interpretation. Under the unmistakability doctrine, a court certainly may not construe those documents to contain those promises.

II. Even if respondents had unmistakably obtained the promises they allege, those promises would be invalid and unenforceable because the thrift regulators who would have made them would not have had the authority to bind future Congresses. Under the "reserved powers" doctrine, this Court has frequently held that core sovereign powers may not be alienated by a legislature. That principle applies even more powerfully to alienations of future legislative power alleged to have been made by administrative officials.

The right to set future policy for thrift capital safety is a power exercised by Congress. Before an administrative agency could be held to have committed future Congresses not to exercise it, a court must assure itself that Congress actually delegated such authority. Under settled precedent, general grants of authority to carry on an agency's ordinary business are insufficient for that purpose. Thus, even if the right to set future thrift capital

policy is not a reserved power, any commitments made by federal regulators that thrift capital requirements would not be changed would be *ultra vires* and invalid.

III. Finally, even if respondents had obtained the contractual commitments they allege, and even if the agencies had authority to make such commitments, respondents could nevertheless not obtain breach of contract damages. Under the sovereign acts doctrine, the United States and its agencies are immune from liability for breach of contract when a public and general sovereign act—such as the enactment of FIRREA—makes the government's performance of a contractual commitment impossible. The purpose of the doctrine is to put the government on the same footing as private parties, who are similarly generally protected from breach of contract actions when their performance of a contract is rendered impossible by a change in law.

FIRREA was "public and general." It was an integral part of a systematic overhaul of the entire thrift regulatory scheme, designed to rescue an ailing industry and restore public confidence. The provisions limiting the ability of a thrift to treat goodwill as capital were a crucial feature of the reforms. They apply to all thrifts and to all forms of goodwill, whether originating in supervisory transactions (as here) or not. The only relevant FIRREA provisions that were directed specifically at thrifts that had supervisory goodwill or capital credits provided a partial exemption and transition period to ease the strict rules that otherwise would govern. The Federal Circuit erred in relying on those provisions—which had the effect of giving respondents (among others) a special *benefit*—to find that FIRREA was not a "public and general" act under the sovereign acts doctrine.

ARGUMENT

Introduction

Respondent thrifts each engaged in mergers with, or acquisitions of, failing thrifts prior to the enactment of FIRREA. In order to complete those transactions, the thrifts needed the formal approval of the Bank Board. That approval was contained in Resolutions of the Board, supplemented by Bank Board forbearance letters. Those documents were not contracts between the Bank Board and the thrifts. They were, instead, statements of the conditions that the thrifts would have to satisfy in order to obtain Board approval of the transactions. Bank Board policy at the time permitted respondents to count goodwill as an asset for purposes of satisfying federal capital requirements. The Resolutions and forbearance letters made clear how respondents were to comply with the existing goodwill capital policy. The Board Resolutions and forbearance letters made no promises regarding the continuation of existing capital requirements or the policy under which goodwill could be counted as capital.

In connection with their transactions, respondents sought and obtained valuable government cash and non-cash financial assistance. Contractual commitments to furnish such assistance were contained in contracts called Assistance Agreements or Supervisory Action Agreements between FSLIC and respondents. Those Agreements provided that FSLIC would, *inter alia*, assist the Winstar and Statesman transactions with cash contributions and would assist the Glendale transaction with a valuable guarantee against rising interest rates. The Agreements also committed respondents to take certain steps thought necessary to protect the government's investment, such as submitting to audits and vigorously pursuing claims held by the merged or acquired institutions. With the exception of the Statesman capital credit, these contracts, like the Board Resolutions and forbearance letters, make no promises regarding (indeed, do not even mention) (fed-

eral capital requirements or the treatment of supervisory goodwill as capital. They contain no undertaking by FSLIC that its parent body—the Bank Board—or Congress would not change those requirements or the treatment of goodwill under them.

The basic error committed by the courts below lay in beginning its analysis by hypothesizing an intent by the thrift regulators to promise that the federal government would continue to count goodwill as capital for purposes of satisfying federal regulatory capital requirements for decades into the future, regardless of any statutory or regulatory changes in federal policy governing the required financial soundness of thrifts. The courts then found evidence for that promise by incorrectly treating the regulatory documents—the Bank Board Resolutions and forbearance letters—as contractual agreements, and by interpreting the terms of those documents—contrary to their plain meaning—as making promises that goodwill would continue to be treated as capital in the future.

The courts below were led into this erroneous conclusion by their failure to apply the unmistakability doctrine, a doctrine that precludes courts from assuming that the government has contracted away its power to regulate unless such abdication is expressed with unmistakable clarity. Recognition of this error by this Court obviates the need to inquire whether Congress ever gave the thrift regulators the authority to commit the government not to change its regulatory policy. If such an inquiry were to be undertaken, however, settled precedent of this Court establishes that any such promises would, in fact, have been *ultra vires*, and therefore invalid and unenforceable. Finally, the sovereign acts doctrine would in any event preclude respondents from recovering damages for regulatory acts required by Congress's enactment of FIRREA.

I. A CONTRACT WITH A GOVERNMENT AGENCY SHOULD BE CONSTRUED TO RESTRICT THE FUTURE EXERCISE OF FEDERAL REGULATORY AUTHORITY ONLY IF IT DOES SO IN UNMISTAKABLE TERMS

1. Respondents allege that the government contracted in these cases to limit its exercise of its regulatory authority for periods of between 25 and 40 years (or indefinitely, in the case of the treatment of Statesman's capital credits). Under respondents' theory, the government also contracted not to apply to them for many years future federal statutes that might strengthen capital requirements for operating thrifts.

Under long-established principles, contracts that limit the government's future exercises of regulatory authority are strongly disfavored; such contracts will be recognized only rarely, and then only when the limitation on future regulatory authority is expressed in unmistakable terms. Thus, in *Bowen v. Public Agencies Opposed to Social Security Entrapment (POSSE)*, 477 U.S. 41, 52-53 (1986), the Court referred to its "often-repeated admonitions that contracts should be construed, if possible, to avoid foreclosing exercise of sovereign authority." *POSSE* involved a claim by certain States that they had entered into contracts with the federal government giving them the right to withdraw their employees from the Social Security system, despite subsequent legislation making such withdrawal illegal. The Court refused to construe the provisions relied upon by the States as having that effect. It relied on the principle that "courts should be extremely reluctant to construe [agreements] in a manner that forecloses Congress' exercise of [its sovereign] authority." *Id.* at 52. The Court concluded that "contractual arrangements, including those to which a sovereign itself is party, 'remain subject to subsequent legislation' by the sovereign." *Ibid.*

In *POSSE*, the Court relied upon its decision in *Merrion v. Jicarilla Apache Tribe*, 455 U.S. 130, 148

(1982), for the governing legal principles. See 477 U.S. at 52. *Merrion* involved an Indian Tribe's ability to impose a severance tax on oil and gas production on reservation land. The Tribe had previously negotiated leases with the oil and gas producers that included royalty payments to the Tribe. The Court held that the royalty payment agreement should not be construed as a surrender of the Tribe's sovereign right to impose a subsequent tax, absent an unmistakable surrender of that right. The Court stated that "sovereign power, even when unexercised, is an enduring presence that governs all contracts subject to the sovereign's jurisdiction, and will remain intact *unless surrendered in unmistakable terms.*" 455 U.S. at 148 (emphasis added).

One year after *POSSE*, in *United States v. Cherokee Nation*, 480 U.S. 700, 707 (1987), the Court again invoked the unmistakability doctrine in refusing to construe a federal agreement to cede title to a riverbed to an Indian Tribe as having surrendered the federal right to keep the river navigable in the future. The plaintiffs there sought monetary compensation from the United States because of alleged damage to the riverbed caused by federal efforts to ensure navigability. The Court stated that a waiver of this "sovereign authority will not be implied, but instead must be 'surrendered in unmistakable terms.'" *Ibid.*

2. The principle that a contractual surrender of a sovereign power for the future should never be found without unmistakable language to that effect was recognized by this Court as early as 1830, in *Providence Bank v. Billings*, 29 U.S. (4 Pet.) 514, 560-561 (1830). In that case, a bank claimed that its state charter should be construed to have surrendered the right of the State to tax it in the future, and that the subsequent imposition of a tax was thus unconstitutional. In an opinion by Chief Justice Marshall rejecting the claim, the Court explained that, "the whole community is interested in retaining [the taxing power] undiminished; that community has a right to insist, that its abandonment ought not

to be presumed, in a case in which the deliberate purpose of the state to abandon it does not appear." *Id.* at 561.

Relying on *Providence Bank*, this Court has repeatedly reaffirmed the principle that "neither the right of taxation, nor any other power of sovereignty, will be held by this court to have been surrendered, unless such surrender has been expressed in terms too plain to be mistaken." *Jefferson Branch Bank v. Skelly*, 66 U.S. (1 Black) 436, 446 (1862). See also *Keefe v. Clark*, 322 U.S. 393, 396 (1944); *Vicksburg, S. & P.R.R. v. Dennis*, 116 U.S. 665, 668 (1886) (collecting early cases). As this Court commented in *The Delaware R.R. Tax*, 85 U.S. (18 Wall.) 206, 225-226 (1873), that unmistakability rule applies "with special force" where it is the government's regulatory authority, rather than the mere expenditure of government funds, that was allegedly contracted away—i.e., "when the right, privilege, or immunity claimed calls for any abridgment of the powers of the government, or any restraint upon their exercise." If the government has the authority to agree not to exercise a sovereign power at all, "the surrender when claimed must be shown by clear, unambiguous language, which will admit of no reasonable construction consistent with the reservation of the power." *Id.* at 226. See also *Home Tel. & Tel. Co. v. City of Los Angeles*, 211 U.S. 265, 273 (1908).

3. The unmistakability doctrine serves important public purposes. Contracts in which the government promises not to exercise its future regulatory authority in certain ways constitute a direct impairment of the government's ability to serve the public interest, should regulation of the sort prohibited by the contract become necessary or advisable at a later time. In most circumstances, it is extremely doubtful whether government officials have the power to enter such contracts at all. See pp. 36-43, *infra*. At the very least, it should not be assumed that they have done so unless that intention is expressed in the clearest possible terms. An error in construing a contract to surrender sovereign regulatory authority for

the future, when that result was neither intended nor authorized, might have enormously serious consequences—consequences much more serious than an error in the opposite direction. The doctrine also helps to ensure that, before officials take a step as significant as contracting away the government's right to exercise future sovereign regulatory authority, the parties to the contract, as well as other officials with oversight responsibility or other interests in the area, will be on full notice that such a step is being taken.⁶

In this respect, the unmistakability doctrine is closely related to clear statement rules that are applied elsewhere in the law. For example, in *Atascadero State Hosp. v. Scanlon*, 473 U.S. 234 (1985), this Court noted that a waiver of Eleventh Amendment immunity "implicates the fundamental constitutional balance between the Federal Government and the States." *Id.* at 238. Therefore, "a State will be deemed to have waived its immunity only where stated by the most express language or by such overwhelming implication from the text as [will] leave no room for any other reasonable construction." *Id.* at 239-240 (internal quotation marks omitted).⁷ Somewhat

⁶ As Justice Brennan commented, "[t]he Framers fully recognized that nothing would so jeopardize the legitimacy of a system of government that relies upon the ebbs and flows of politics to 'clean out the rascals' than the possibility that those same rascals might perpetuate their policies simply by locking them into binding contracts." *United States Trust Co. v. New Jersey*, 431 U.S. 1, 45 (1977) (Brennan, J., dissenting).

⁷ See also *United States v. Nordic Village, Inc.*, 503 U.S. 30, 33-34 (1992) (waivers of federal sovereign immunity); *Gregory v. Ashcroft*, 501 U.S. 452, 460-461 (1991) (alteration of federal/state balance); *EEOC v. Arabian American Oil Co.*, 499 U.S. 244, 248 (1991) (legislation applying outside territorial jurisdiction of United States); *United States v. Dion*, 476 U.S. 734, 740 (1986) (abrogation of Indian treaty rights); *Watt v. Western Nuclear, Inc.*, 462 U.S. 36, 59 (1983) ("land grants are construed favorably to the Government, [and] * * * nothing passes except what is conveyed in clear language"); cf. *Astoria Fed. Sav. & Loan Ass'n*

similar principles apply to the interpretation of purely private contracts, where "[i]n choosing among the reasonable meanings of a promise or agreement or a term thereof, a meaning that serves the public interest is generally preferred." Restatement (Second) of Contracts § 207 (1981). As the drafters of the Restatement understood, that principle in effect constitutes a clear statement rule disfavoring terms contrary to the public interest.⁸

4. The Federal Circuit declined to apply the unmistakability doctrine in this case. In doing so, the court did not question the proposition that the respondents here rely on claimed contractual terms that would limit the future exercise by the government of its sovereign regulatory authority.⁹ Instead, the court pointed to the fact that "[t]he thrifts did not ask for * * * injunctive relief that would have enjoined the thrift regulators from applying the FIRREA requirements to the thrifts," and "[m]oney damages, in contrast to injunctive relief, presents

v. *Solimino*, 501 U.S. 104, 108 (1991) ("Rules of plain statement and strict construction prevail only to the protection of weighty and constant values, be they constitutional or otherwise.") (citation omitted).

⁸ The Restatement sets forth the following illustration: An inventor assigns "all * * * rights in a pending patent application and all improvements on the invention covered." Restatement (Second) of Contracts § 207 illus. 1, at 106 (1981). The inventor makes a future invention and the assignee claims it as an improvement. In that circumstance, "[t]he public interest in encouraging invention supports an interpretation of the agreement excluding future improvements unless future improvements were specifically included" (*ibid.*), i.e., unless future improvements were unambiguously specified.

⁹ A term in a government contract involves sovereign regulatory authority if it "could appear only in contracts with the government, such as a waiver from future regulation." *Transohio Sav. Bank v. Director, OTS*, 967 F.2d 598, 623 (D.C. Cir. 1992). On the other hand, contract "terms that resemble those in contracts between private parties, such as the price term in a lease of land," do not implicate sovereign regulatory authority. *Ibid.*

little threat to the government's sovereign powers." Pet. App. 37a.¹⁰

The unmistakability doctrine, however, is a principle governing contract *interpretation*, not contract *relief*. This Court has never suggested that the doctrine becomes inapplicable because a plaintiff seeks only monetary relief. Indeed, in *Cherokee Nation*, the plaintiffs sought only monetary "compensation [under the Takings Clause] for damage to the[] riverbed interests" that they alleged had been harmed. 480 U.S. at 701. Such compensation did not prevent the government from protecting navigation on the river; it would, however, have required the government to pay the plaintiffs for the value of the navigational servitude. The Court applied the familiar doctrine that "a waiver of sovereign authority will not be implied, but instead must be 'surrendered in unmistakable terms.'" *Id.* at 707.¹¹

More pragmatically, the Federal Circuit's conclusion that a claim for money damages "presents little threat to the government's sovereign powers," Pet. App. 37a, is simply wrong. A governmental obligation to pay substantial damages as the price for exercising regulatory authority unquestionably carries the danger that needed future regulatory action will be deterred. The unmistakability doctrine rests on the reluctance to assume that officials (or legislators) to whom sovereign authority is entrusted will act to control or limit the exercise of that

¹⁰ See also Pet. App. 37a-38a ("The Supreme Court's decision in *POSSE* is predicated on the need to protect the sovereign's legislative power and that concern is inapplicable where money damages alone are at issue.")

¹¹ This Court's descriptions of the unmistakability doctrine have always made clear that the doctrine has to do with the construction of contracts, not the relief sought. See, e.g., *POSSE*, 477 U.S. at 52 ("courts should be extremely reluctant to construe [the contracts at issue] in a manner that forecloses Congress' exercise of [its sovereign] authority"); *Merrion*, 455 U.S. at 147 (relying on "established principles for determining whether other governmental bodies have waived a sovereign power through contract").

authority by their successors. That reluctance fully applies when a future body of citizens would be required to pay (in damages) for the privilege of having its government's regulatory powers used to serve its current needs. The rule of law proposed by the Federal Circuit would also lead to absurd results in a case in which a plaintiff seeks both an injunction and damages; such a contract would have to be interpreted one way in ruling on the claim for injunction, and in a different way in ruling on the damages claim.

Respondents' claims in this case depend on the proposition that the federal thrift regulators entered into contracts that committed the government to follow certain regulatory policies for 25 to 40 years into the future, and that Congress then violated those commitments by enacting new regulatory legislation. Under established principles, the documents relied upon by respondents to reach that unusual result should not be construed to contain such contractual commitments unless agreements to that effect were expressed with unmistakable clarity. We now turn to an examination of the documents relevant to this case to see whether such clarity is present.¹²

5. Examination shows that the language relied upon by respondents in this case does not unmistakably grant respondents the right, despite future legislative changes, to continue to count goodwill as capital for purposes of meeting federal capital requirements. On the contrary, the language of the documents demonstrates that careful attention was paid to limiting the contractual commitments of the United States to actions that would be taken to comply with then-current regulatory policy; no

¹² Three courts of appeals, contrary to the court below, have applied the unmistakability doctrine to contracts similar to those in this case. See *Charter Fed. Sav. Bank v. OTS*, 976 F.2d 203 (4th Cir. 1992), cert. denied, 507 U.S. 1004 (1993); *Transohio Sav. Bank v. Director, OTS*, 967 F.2d 598 (D.C. Cir. 1992); *Guaranty Financial Services, Inc. v. Ryan*, 928 F.2d 994, 1000-1001 (11th Cir. 1991).

promises were made that that policy would not be changed or that respondents would be immune from such changes, if they were made.

a. Glendale

In connection with Glendale's 1981 merger with a troubled thrift, First Federal Savings and Loan of Broward County, Florida, FSLIC entered into a Supervisory Action Agreement (SAA) with Glendale. That contractual document did not include any promises relating to supervisory goodwill, and the Federal Circuit did not hold that it did.¹³ Instead, the court below held (1) that the Glendale SAA's "integration" clause included in the contract the substantially contemporaneous Bank Board Resolution 81-710, see Pet. App. 17a-18a, and (2) that that Resolution, in turn, contained a promise that the Bank Board would continue to count Glendale's supervisory goodwill as capital for purposes of satisfying federal capital requirements, despite any changes that might be made in governing legislation.¹⁴

Although the SAA incontrovertibly *refers* to the Bank Board Resolution, the Federal Circuit erroneously concluded that that reference transformed the statements in the Resolution into contractual commitments of the government. The integration clause provided, in relevant part:

This Agreement, together with an interpretation thereof or understanding agreed to in writing by the

¹³ The SAA did provide a number of other benefits for Glendale, including protection against interest rate increases, see J.A. 591-593, which threatened the health of the thrift industry at the time; a federal agreement for a variety of short-term cash advances, see J.A. 596-598; and indemnification against unknown liabilities of Broward for a ten-year period, see J.A. 593-594.

¹⁴ The SAA expired in November 1991. See J.A. 598. In our view—though not in Glendale's—any promise regarding supervisory goodwill could have committed federal regulators only until that date.

parties, constitutes the entire agreement between the parties thereto and supersedes all prior agreements and understandings of the parties in connection herewith, excepting only the Agreement of Merger and any resolutions or letters issued contemporaneously herewith by the [Bank Board] or the FSLIC.

J.A. 598-599; see Pet. App. 17a. The court of appeals held that the Bank Board Resolution was "[o]ne of these contemporaneous documents," *id.* at 18a, referred to in the last clause of the integration clause, and that "all of the contemporaneous documents * * * under the integration clause of the SAA collectively constituted the 'Agreement' of the parties," *id.* at 21a.

The Federal Circuit was correct in holding that, under the integration clause, Bank Board Resolution 81-710 was a "resolution * * * issued contemporaneously * * * by the [Bank Board]." Bank Board Resolution 81-710 was adopted by the Board on November 19, 1981, the same day that the SAA between FSLIC and Glendale was signed. By the terms of the integration clause, the Resolution was, therefore, not "supersede[d]" by the 1981 SAA with Glendale.¹⁵ That, however, does not suggest that the terms of the Bank Board Resolution were transformed by the SAA into contractual commitments of the government.¹⁶

¹⁵ The governing statute, 12 U.S.C. 1725(a) (1988), provided that FSLIC "shall be under the direction of the Federal Home Loan Bank Board and operated by it under such bylaws, rules, and regulations as it may prescribe for carrying out [its statutory] purposes." The Bank Board thus acted as the ultimate authority for FSLIC, similar to a board of directors. It is therefore understandable that FSLIC, when entering into a contract, would have wanted to ensure that it was taking no action that would "supersede" or contradict an official Bank Board policy.

¹⁶ This court has cautioned against reading statutes to constitute contractual commitments by the government. See, e.g., *National R.R. Passenger Corp. v. Atchison, T. & S.F. Ry.*, 470 U.S. 451, 465-469 (1985); *Wisconsin & Mich. Ry. v. Powers*, 191 U.S. 379, 386-

Resolution 81-710 was a regulatory agency decision that approved an application by Glendale to consummate a merger that required regulatory approval. See 12 U.S.C. 1464, 1726 (1988); 12 C.F.R. 546.2, 563.22 (1982). It contains no mention of federal regulatory capital requirements and no promise by the government that Glendale could continue to count regulatory goodwill as an asset despite changes in governing legislation or regulatory policy. The court of appeals, however, found such a contractual promise in the portion of the Bank Board Resolution that provided:

Glendale shall furnish an opinion from its independent accountant, satisfactory to the Supervisory Agent, which (a) indicates the justification under generally accepted accounting principles for the use of the purchase method of accounting for its merger with Broward, (b) specifically describes, as of the Effective Date, any goodwill or discount of assets arising from the merger to be recorded on Glendale's books, and (c) substantiates the reasonableness of amounts attributed to goodwill and the discount of assets and the resulting amortization periods and method.

Pet. App. 18a-19a; J.A. 607.¹⁷ The evident purpose and function of those Resolution provisions, however, was not to make promises about future regulatory policy, but to inform Glendale about how to record the merger transac-

387 (1903); *Welch v. Cook*, 97 U.S. 541 (1878). For the same reasons, agency adjudicatory decisions are not ordinarily contractual documents, and they were not in this case.

¹⁷ The Resolution also provided that "Glendale shall submit a stipulation that any goodwill arising from this transaction shall be determined and amortized in accordance with" a Bank Board Memorandum that discussed the documentation a thrift had to provide if it wanted to use the purchase method of accounting. Pet. App. 19a; see *id.* at 19a n.4 (quoting Memorandum). See also J.A. 607, 573. The amortization period works out to be 40 years.

tion on its books and what kind of documentation Glendale was required to provide in order to satisfy then-current Bank Board policies.¹⁸ As the Fourth Circuit stated in *Charter Fed. Sav. Bank v. OTS*, 976 F.2d 203, 211 (4th Cir. 1992), cert. denied, 507 U.S. 1004 (1993), "resolutions issued by the [Bank Board] in connection with the mergers merely granted that agency's approval of the merger and the accounting practices employed by [the thrift] in connection therewith." Nothing in the language of the Resolution committed the Bank Board or Congress to continue to treat goodwill as an asset for purposes of satisfying federal capital requirements in the future. Indeed, in light of the frequency with which federal capital requirements had changed in the past, see p. 3, n.1, *supra*, it would have been unreasonable for Glendale, FSLIC, or the Bank Board to expect or rely upon the fact that those requirements would remain unchanged.

The court of appeals also relied on what it termed "other evidence and * * * the circumstances surrounding the transaction." Pet. App. 22a. The court noted that, "[w]ithout the use of supervisory goodwill, the merged thrifts would have been in a failing position" that would have caused FSLIC exactly the losses that it was trying to avoid by approving the merger. *Ibid.* The court thus correctly understood that the Bank Board's policies at the time of the Glendale SAA in 1981 permitted the thrift to use supervisory goodwill to satisfy regulatory capital requirements. The merger transaction permitted FSLIC to avoid (at least for the time being) substantial losses that would have occurred had Broward been put into receivership. And, for the very reason that the Bank Board wanted to avoid closing institutions unnecessarily, the Bank Board was unlikely to change its capitalization

¹⁸ The Federal Circuit correctly noted (Pet. App. 20a-21a) that Glendale in fact submitted the required accountant's letter, and that it was satisfactory to the Bank Board. Neither fact supports Glendale's argument that the Bank Board, by accepting the letter, agreed to freeze then-current capital requirements for a period of 40 years.

policies quickly. Indeed, the policy permitting goodwill to be included in capital was not changed for eight years, and then the change was made by Congress in FIRREA, and not by the Board.

The court below also noted that "it is appropriate to observe that no healthy thrift would consummate a transaction that immediately put it in regulatory noncompliance." Pet. App. 22a. We agree that a healthy thrift would not enter into an agreement and arrangement that would immediately render it insolvent and subject to closure under existing regulatory policy.¹⁹ But Glendale did not enter into such an arrangement. Under existing regulatory policy it remained solvent upon absorbing Broward. The relevant question is whether Glendale would take a risk that this regulatory policy might change in the future. As a number of observers—including a commission charged by statute with investigating the causes of the thrift crisis—have explained, transactions of this sort offered a number of immediate benefits to the acquiring thrift that would justify taking just such a risk.²⁰

¹⁹ It should be noted, however, that thrifts generally operate subject to the risk of statutory change that might threaten them with closure. See *Carteret Sav. Bank v. OTS*, 963 F.2d 567, 581 (3d Cir. 1992) (noting the "massively regulated banking industry, where the rules of the game change with some regularity"); *Charter*, 976 F.2d at 212 (explaining that since "[c]apital requirements have been an evolving part of the regulatory scheme since its inception," the Bank Board "would have expected changes in statutory requirements, including capital requirements"). There thus is always the possibility that Congress will increase the federal capital requirements or their method of implementation and thereby threaten some thrifts with the possibility of immediate closure. For example, in FIRREA, see 12 U.S.C. 1464(t)(1)(A), 1464(t)(2), (3), and (9), Congress increased the capital requirements, and in a subsequent statute, Congress required federal regulators to appoint a receiver for any institution that remained critically undercapitalized by a certain measure for a one-year period, see 12 U.S.C. 1831o(b)(1)(E), 1831o(c)(3), 1831o(h)(3).

²⁰ Acquisitions of insolvent thrifts "were tempting to other [thrifts] trying to stave off accounting insolvency because acquirers

One other provision of the SAA has a bearing on the meaning of the Glendale contract. The SAA included a provision stating that "[n]othing in this Agreement shall require any unlawful action or inaction by either of the parties hereto." Pet. App. 23a; see J.A. 600. The most natural reading of that provision is to allocate to Glendale the risk of a change in law—especially statutory law—that might affect the parties' executory contractual commitments. As such, the clause is sufficient by itself to defeat Glendale's claim. At the very least, it establishes that the contract did not unmistakably give Glendale a right to count supervisory goodwill as capital for purposes of satisfying federal capital requirements after the governing statute was changed to make it illegal for it to do so.²¹

b. *Winstar*

The Winstar transaction was quite similar to the Glendale transaction. As with Glendale, FSLIC entered into

could show fictitious income and continue to pay (indeed increase) dividends, high salaries, and so on." National Commission on Financial Institutions Reform, Recovery and Enforcement, *Origins and Causes of the S&L Debacle: A Blueprint for Reform, A Report to the President and Congress of the United States* 38-39 (1993) (*Blueprint*). See Comprehensive Thrift and Bank Fraud Prosecution and Taxpayer Recovery Act of 1990, Pub. L. No. 101-647, Tit. XXV, §§ 2551, 2556, 104 Stat. 4889, 4892. In addition, because of complicated rules regarding thrift accounting, amortization, and valuation of assets, accumulation of intangible assets such as goodwill could be quite profitable. See *Blueprint* 38-39. See also William Black, *Ending Our Forebearers' Forbearances: FIRREA and Supervisory Goodwill*, 2 Stan. L. & Pol'y Rev. 102, 104-105 (1990).

²¹ The court of appeals' conclusory statement that the clause referred only to "the law as it existed at the time the contract was entered into," Pet. App. 23a, turns the unmistakability doctrine on its head. See also *id.* at 23a-24a ("[T]he clause clearly is not an escape hatch that allows the federal government to avoid performance of its contractual obligations without penalty by passing a law prohibiting its own performance"). Instead of favoring the interpretation of the contract that preserves the sovereign's regulatory authority, the court of appeals' conclusory statement does just the opposite.

an Assistance Agreement with Winstar in connection with Winstar's acquisition of a failing thrift in 1983. The Agreement required FSLIC to contribute capital (which eventually amounted to \$5.5 million, see Pet. App. 194a, J.A. 97-98) to the resulting institution. It also contained a number of provisions requiring Winstar to take various steps to protect the federal investment, such as vigorously pursuing claims of the acquired thrift. See J.A. 102-105. The Federal Circuit correctly noted that "Winstar's Assistance Agreement, like Glendale's SAA, did not directly cover the treatment of supervisory goodwill." Pet. App. 27a. But the Federal Circuit held that, as in Glendale, the Assistance Agreement contained an integration clause that incorporated a forbearance letter from the Bank Board and a Bank Board Resolution. *Id.* at 27a-28a. The Federal Circuit held that those documents, in turn, included promises by the then-thrift regulators to permit Winstar to count supervisory goodwill resulting from the merger as capital for purposes of meeting federal capital requirements for a period of 35 years. See *id.* at 28a.

The Federal Circuit's conclusion with respect to Winstar is wrong for the same reasons that its conclusion with respect to Glendale is wrong. The integration clause did not make the forbearance letter and Bank Board Resolution into contractual promises that Winstar could continue to capitalize goodwill in the future, even if regulatory policy or the governing statute should change. Those documents reflected then-current regulatory policy and stated the steps Winstar needed to take to capitalize goodwill—and the amortization schedule that could be used in doing so—under that policy.²²

²² Winstar's integration clause was virtually identical to Glendale's. Compare J.A. 112 (Winstar) with J.A. 598-599 (Glendale).

The forbearance letter that the Bank Board sent to Winstar provided, in relevant part:

For purposes of reporting to the Board, the value of any intangible assets resulting from accounting for the merger in

Winstar has argued that the "accounting principles" clause in its Assistance Agreement, J.A. 108-109, had the effect of contractually committing the government to use the Bank Board Resolution—rather than any future regulations—to govern accounting for the transaction. See Winstar Br. in Opp. 24-25. Winstar's argument is not persuasive, and it was not relied upon by the Federal Circuit. Indeed, the language of that clause, insofar as it has any relevance to this case, supports the government's position.

The accounting principles clause by its own terms applied only to "any computations made for the purposes of this Agreement." J.A. 108. As argued above, the

accordance with the purchase method may be amortized by [Winstar] over a period not to exceed 35 years by the straight-line method.

J.A. 123; see also Pet. App. 28a. That statement is very similar to the language of the Glendale Bank Board Resolution requiring Glendale to "determine[] and amortize[]" goodwill in accordance with the schedule in a previous Board Resolution. See *id.* at 19a & n.4. As in *Glendale*, the statement in the Winstar Resolution includes no reference to federal capital requirements, and it does not purport to impose an obligation on the federal government. See pp. 25-26, *supra*.

The Bank Board Resolution with regard to the Winstar transaction provided, in relevant part:

[Winstar] shall furnish an analysis, accompanied by a concurring opinion from its independent public accountants, satisfactory to the Supervisory Agent and to the Office of Examinations and Supervision, which (i) specifically describes as of the closing date, any intangible assets, including goodwill or the discounts and premiums arising from the acquisition to be recorded on [Winstar's] consolidated books; and (ii) substantiates the reasonableness and conformity with regulatory requirements of the amounts attributed to intangible assets, including goodwill, and the discounts and premiums and the related amortization periods and methods.

J.A. 76. The operative language in that provision, again, is almost identical to the operative language in the corresponding provision of the Glendale Bank Board Resolution. See pp. 25-26, *supra*. The Glendale analysis applies equally to Winstar.

Agreement contained no provision relating to supervisory goodwill or capital requirements (which, as the Federal Circuit recognized (Pet. App. 27a), were discussed only in the forbearance letter and Bank Board Resolution). Accordingly, no computations regarding goodwill or capital requirements had to be or were "made for the purposes of this Agreement." Moreover, the portion of the clause upon which Winstar relies has to do with what occurs "[i]n the case of any ambiguity in the interpretation or construction of any provision of this Agreement." J.A. 109. There was, however, no ambiguity in any provision of the Agreement regarding supervisory goodwill, since the Agreement did not mention that subject. Finally, the sentence on which Winstar relies states:

For the purposes of this section, the governing regulations and the accounting principles shall be those in effect on the Effective Date or as subsequently clarified, interpreted, or amended by the Bank Board or the Financial Accounting Standards Board ("FASB"), respectively, or any successor organization.

J.A. 109. That sentence recognizes that the "governing regulations and the accounting principles" will be those in effect at the time of the transaction "or as subsequently clarified, interpreted, or amended by the Bank Board" or other authorities. It thus strongly supports our argument that the parties recognized that Bank Board policies could change, and that whatever new policies were adopted would, from then on, govern future accounting by Winstar.

As with Glendale, there are other provisions in the Winstar Assistance Agreement that demonstrate the parties' understanding that Bank Board policies could change, especially if Congress enacted legislation requiring such changes. As in *Glendale*, the agreement provided that "[n]othing in this Agreement shall require any unlawful action or inaction by either party." J.A. 112. The Bank Board Resolution made the same point; it required Win-

star to file a "Net Worth Maintenance Stipulation" reciting that Winstar would comply with capital regulations "as now or hereafter in effect." J.A. 78 (emphasis added). Thus, the Resolution contemplated that regulatory capitalization requirements might be changed, and Winstar pledged to comply with those changes.

Finally, the Winstar Agreement provided that, "[e]xcept as otherwise specifically provided in this Agreement, this Agreement shall terminate [in 1986]." J.A. 110. Thus, even if the agreement had placed an obligation on the government to permit the inclusion of goodwill in Winstar's regulatory capital, that obligation would have expired prior to the enactment of FIRREA.

c. Statesman

Unlike Glendale and Winstar, Statesman has alleged that it entered into a contract that bound the federal government to permit it to count two distinct forms of goodwill—supervisory goodwill and capital credits (RAP goodwill)—as regulatory capital for purposes of satisfying federal capital requirements.

In 1987, Statesman acquired four failing thrifts. The Statesman transaction regarding supervisory goodwill is in relevant respects like the Winstar transaction, and calls for the same analysis. In connection with Statesman's acquisition of the four failing thrifts, it entered into a 1988 Assistance Agreement with FSLIC; that Agreement contained nothing about supervisory goodwill or federal capital requirements. The Statesman Assistance Agreement included an integration clause that differed somewhat from that in the Glendale and Winstar contracts; after providing that "[t]his Agreement, together with any resolutions adopted by the Bank Board * * * constitutes the entire agreement between the parties," it continued with language similar to that in the other transactions. See J.A. 408 (emphasis added). With respect to supervisory goodwill, the Bank Board Resolution included

language similar to that in Glendale and Winstar.²³ The Federal Circuit relied on that language to reach the same result it did with respect to Glendale and Winstar. Pet. App. 25a-26a.

As in Glendale and Winstar, the Bank Board Resolution referred to in the Agreement's integration clause made no promises concerning the continued application of existing federal capital requirements to Statesman's supervisory goodwill; the Resolution merely stated the requirements for Statesman to capitalize goodwill under then-current regulatory capital policy. Accordingly, the Agree-

²³ The Bank Board Resolution provided, in relevant part:

[T]he Acquisition and the Mergers shall be accounted for, and [Statesman] shall report to the Bank Board and the FSLIC, in accordance with generally accepted accounting principles prevailing in the savings and loan industry, as accepted, modified, clarified, or interpreted by applicable regulations of the Bank Board and the FSLIC, except to the extent of the following departures from generally accepted accounting principles:

(a) Twenty-one million dollars of the initial contribution by the [FSLIC] to [Statesman], and five million dollars of the principal amount of the Subordinated Debenture issued to the FSLIC, pursuant to § 6 of the Assistance Agreement, shall be credited to the regulatory capital account of [Statesman]; and

(b) The value of any unidentifiable intangible assets resulting from accounting for the Acquisition and the Mergers in accordance with the purchase method of accounting may be amortized by [Statesman] over a period not in excess of twenty-five (25) years by the straight line method.

J.A. 458-459; see also Pet. App. 25a-26a. Clause (a) mirrors the language of the Assistance Agreement regarding Statesman's capital credits, see p. 34, *infra*; clause (b) concerns supervisory goodwill, and is almost identical to the corresponding clauses in the Glendale and Winstar transactions.

As with Glendale and Winstar, the Resolution also required Statesman to submit an accountant's report describing the goodwill resulting from the acquisitions that Statesman carried on its books and "substantiat[ing] the reasonableness and conformity with regulatory requirements of the amounts attributed to intangible assets, including goodwill * * *, and the related amortization periods and method[s]." J.A. 459; see also Pet. App. 26a.

ment cannot be construed to include a commitment to permit Statesman to count its supervisory goodwill as capital for purposes of satisfying federal capital requirements for the 25-year amortization period, despite subsequent changes in the law.

Pursuant to Statesman's Assistance Agreement, FSLIC contributed some \$60 million to Statesman Bank. J.A. 362. The Agreement provided that \$26 million of the FSLIC contribution could also be counted as capital for purposes of satisfying federal capitalization requirements. The Agreement stated:

For purposes of reports to the Bank Board * * *, \$26 million of the contribution [made by FSLIC] shall be credited to [Statesman's] regulatory capital account and shall constitute regulatory capital (as defined in § 561.13 of the Insurance Regulations).

J.A. 362a. Unlike the provisions in various documents relied on by Glendale and Winstar, that provision mentions Statesman's "regulatory capital account," and it states that the capital credit "shall constitute regulatory capital." In addition, it states a commitment by *both* parties as to how capital is to be calculated, rather than a requirement placed only on the thrift, as in Winstar and Glendale. It therefore demonstrates that the parties to these transactions could formulate contractual commitments regarding regulatory treatment of intangible assets, and that they did so when that was their intention.

The Statesman capital credit clause, however, also makes clear that the regulatory commitment it made would not survive a change in regulatory policy. The statement that the capital credit "shall constitute regulatory capital (*as defined in § 561.13 of the Insurance Regulations*)"—a reference to 12 C.F.R. 561.13 (1988)²⁴—demonstrates the parties' understanding that treatment

²⁴ That regulation defined what constituted regulatory capital of a thrift institution. It was modified from time to time, and the most recent amendments had been promulgated on January 6, 1988, about two months prior to the Statesman transaction. 53 Fed. Reg. 334 (1988).

of the capital credit as an asset depended entirely upon existing regulations and that the same treatment would not necessarily be accorded if changes were made in the governing regulations or statute.²⁵

In addition, other provisions of the Statesman Agreement operated expressly to allocate the risk of a change in the governing law to Statesman. The Statesman Assistance Agreement contained the same governing law provision as in *Glendale* and *Winstar*, providing that "[n]othing in this Agreement shall require any unlawful action or inaction by either party." J.A. 408. Once FIRREA was passed, a contract right obliging OTS to continue to count Statesman's capital credit as regulatory capital would have required OTS to act unlawfully. The Agreement also included a provision requiring Statesman to "comply in all material respects with all applicable statutes, regulations, orders of, and restrictions imposed by the United States or * * * by any agency of [the United States]," J.A. 407,²⁶ and therefore independently

²⁵ The Statesman Assistance Agreement provided that "this Agreement shall terminate five (5) years following the Effective Date," or March 11, 1993. J.A. 405. In our view, therefore, any promise regarding Statesman's capital credit would thus have terminated in 1993.

²⁶ The provision stated that:

[Statesman] shall, and shall cause its subsidiaries, Affiliates, and service corporations to, comply in all material respects with all applicable statutes, regulations, orders of, and restrictions imposed by the United States or any state, municipality, or other political subdivision, or by any agency of the foregoing public units, regarding the ownership of its properties and conduct of its business, including, without limitation, all applicable statutes, regulations, orders, and restrictions relating to equal employment opportunities, employment retirement income security, and environmental standards and controls; *provided*, however, that nothing contained in this [section] shall require [Statesman], or any of its subsidiaries, Affiliates, or service corporations, to comply with any law so long as the applicability thereof shall be contested in good faith.

J.A. 407.

required Statesman to comply with FIRREA's capital requirements.

6. We have demonstrated above that the contracts at issue in this case did not purport to make any promises by the government concerning whether supervisory goodwill would continue to be treated as regulatory capital in the future. Under ordinary principles of contract interpretation, that would be sufficient to establish that no such promises were made. It follows, *a fortiori*, that no such promises were made unmistakably in the documents at issue in this case.²⁷

II. THE RELEVANT FEDERAL AGENCIES HAD NO AUTHORITY TO BIND THEIR SUCCESSORS TO PARTICULAR REGULATORY POLICIES DESPITE SUBSEQUENT LEGISLATIVE CHANGES

The Federal Circuit's theory was that the former thrift regulators entered into contracts that committed the federal government to count respondents' goodwill as capital for periods of 25 to 40 years (or, in the case of Statesman's capital credits, perhaps permanently), and that those contracts remained fully valid and enforceable even after legislation made that treatment of capital illegal. In other words, the contracts either committed Congress not to enact new legislation requiring a different treatment of respondents' capital or granted respondents a prospective immunity from any such legislative change.

This Court has never held that a federal agency has the authority to enter into an agreement that binds future Congresses not to change regulatory schemes or that immunizes private parties from the effects of such changes. Even if an agency in some circumstances could make such an agreement, however, it certainly could not do so without an express delegation of authority from Congress.

²⁷ That is especially true in the present context. See *Transohio*, 967 F.2d at 619-620 (court may not "compensate for the absence of an unmistakable waiver given that * * * the transaction was heavily lawyered and * * * extensively negotiated").

There was no such delegation here. Thus, even if respondents had received unmistakable promises that capital requirements would not change—which they did not—such promises would be invalid and unenforceable.

1. In what has become known as the "reserved powers" doctrine, this Court has frequently held that state legislatures may not contract away essential attributes of sovereignty. For example, in *Stone v. Mississippi*, 101 U.S. 814 (1880), plaintiff corporation, after paying a monetary premium for the privilege, see *id.* at 817-818, obtained a charter from the state legislature permitting it to conduct lotteries;²⁸ plaintiff then claimed that the charter immunized it from a state statute, enacted one year later, that outlawed lotteries. The Court rejected that claim, holding that "the legislature cannot bargain away the police power of a State." *Id.* at 817. The Court explained that

the power of governing is a trust committed by the people to the government, no part of which can be granted away. The people, in their sovereign capacity, have established their agencies for the preservation of the public health and the public morals, and the protection of public and private rights. These several agencies can govern according to their discretion, if within the scope of their general authority, while in power; but they cannot give away nor sell the discretion of those that are to come after them, in respect to matters the government of which, from the very nature of things, must "vary with varying circumstances."

Id. at 820. Accordingly, "[a]ll that one can get by a [contract purporting to alienate a reserved power] is a suspension of certain governmental rights in his favor,

²⁸ A state-granted charter is a contract. *Trustees of Dartmouth College v. Woodward*, 17 U.S. (4 Wheat.) 518, 627 (1819). See also *Home Building & Loan Ass'n v. Blaisdell*, 290 U.S. 398, 435 (1934).

subject to withdrawal at will." *Id.* at 821.²⁹ As the Court stated in *Atlantic Coast Line R.R. v. City of Goldsboro*, 232 U.S. 548, 558 (1914), "the power of the State to establish all regulations that are reasonably necessary to secure the health, safety, good order, comfort, or general welfare of the community * * * can neither be abdicated nor bargained away, and is inalienable even by express grant."

The reserved powers doctrine was developed in the context of Contract Clause challenges to actions by the States. The logic of the doctrine, however, applies equally to contracts alleged to have been made by the federal government. At least with respect to the exercise of sovereign regulatory authority, a particular Congress, like a state legislature, cannot take actions that tie the hands of its successors. "[G]overnmental [regulatory] powers cannot be contracted away." *North American Commercial Co. v. United States*, 171 U.S. 110, 137 (1898).³⁰ This doctrine precludes any interpretation of

²⁹ Numerous cases of this Court have relied on the reserved powers doctrine to hold that purported alienations of sovereign authority—generally by a legislature—are invalid. See, e.g., *United States Trust Co. v. New Jersey*, 431 U.S. 1, 23 (1977) (dicta) ("[T]he Contract Clause does not require a State to adhere to a contract that surrenders an essential attribute of its sovereignty"); *Pierce Oil Corp. v. City of Hope*, 248 U.S. 498, 501 (1919) (dicta); *Contributors to the Pennsylvania Hosp. v. City of Philadelphia*, 245 U.S. 20, 23 (1917); *Douglas v. Kentucky*, 168 U.S. 488, 502-503 (1897); *Butchers' Union Slaughter-House & Live-Stock Landing Co. v. Crescent City Live-Stock Landing & Slaughter-House Co.*, 111 U.S. 746, 750-751 (1884). See also *Home Building & Loan Ass'n v. Blaisdell*, 290 U.S. at 434-444.

³⁰ See also *Lynch v. United States*, 292 U.S. 571, 579 (1934) ("As Congress had the power to authorize the Bureau of War Risk Insurance to issue [insurance contracts], the due process clause prohibits the United States from annulling them, unless, indeed, the action taken falls within the federal police power or some other paramount power.") (emphasis added).

the contracts in this case that would grant respondents the future right to violate capitalization standards imposed by Congress.

2. It need not be decided in this case, however, whether the authority to alter capital requirements to ensure the safety of thrift institutions is a "reserved power" of Congress that may not be contracted away. Cf. *Jefferson Branch Bank v. Skelly*, 66 U.S. (1 Black) 436 (1862) (requiring State not to impair obligation of contract granting partial exemption from tax). Given the serious consequences of a limitation on future legislative authority in this area, a federal agency may certainly not bind a future Congress without an express delegation of authority from Congress to do so. Congress, however, never granted federal thrift regulators the power to contract for the limitation of its authority over thrift capitalization requirements. See *Transohio Savings Bank v. Director, OTS*, 967 F.2d 598, 621 (D.C. Cir. 1992); cf. *Peterson v. United States Dep't of the Interior*, 899 F.2d 799, 811 n.17, 813 n.18 (9th Cir.), cert. denied, 498 U.S. 1003 (1990).

The requirement that a delegation of authority to make contracts limiting legislative regulatory power must be stated expressly and clearly is confirmed by this Court's decision in *Home Tel. & Tel. Co. v. City of Los Angeles*, 211 U.S. 265 (1908). In that case, the City of Los Angeles had granted a charter to a telephone company specifying certain maximum prices that the company could charge. *Id.* at 272. The city later attempted to regulate the prices further, and the company brought suit, claiming that the new price regulations violated the Contract Clause. This Court held that the company's claim depended upon a showing that the "city council has the power to enter into a contract fixing, unalterably, during the term of the franchise, charges for telephone service and disabling itself from exercising the charter power of regulation." *Id.* at 272-273. In connection

with determining whether a showing of such a delegation was made, the Court stated:

The surrender, by contract, of a power of government, though in certain well-defined cases it may be made by legislative authority, is a very grave act, and the surrender itself, *as well as the authority to make it*, must be closely scrutinized. No other body than the supreme legislature (in this case, the legislature of the State) has the authority to make such a surrender, unless the authority *is clearly delegated to it by the supreme legislature*. The general powers of a municipality or of any other political subdivision of the State are not sufficient. *Specific authority for that purpose is required.*

Id. at 273 (emphasis added).³¹ Those principles are directly applicable to this case.³²

No specific congressional delegation of authority to enter into contracts limiting Congress's future regulatory power is present in this case. In holding that the federal thrift regulators had the authority to make contracts granting respondents the rights they claim, the court of appeals relied (Pet. App. 39a) on statutes generally granting FSLIC and the Bank Board the power "[t]o make contracts," 12 U.S.C. 1725(c)(3) (1988) (repealed),

³¹ The Court added that the effect of the City's contract with the telephone company "is to suspend, during the life of the contract, the governmental power of fixing and regulating the rates." 211 U.S. at 273. In language directly applicable to this case, the Court then stated that, "for the very reason that such a contract has the effect of extinguishing *pro tanto* an undoubted power of government, both its existence and the authority to make it must clearly and unmistakably appear, and all doubts must be resolved in favor of the continuance of the power." *Ibid.*

³² These principles have been referred to as the "vertical dimension" of the unmistakability doctrine. See David Toscano, Note, *Forbearance Agreements: Invalid Contracts for the Surrender of Sovereignty*, 92 Colum. L. Rev. 426, 464 (1992). See also *Home Tel. & Tel.*, 211 U.S. at 276 ("The decisions of this court * * * where a contract of this kind was found and enforced, all show *unmistakably* legislative authority to enter into the contract.") (emphasis added).

to extend assistance to acquirers of insolvent federally insured thrifts, 12 U.S.C. 1729(f)(2)(A) (1988) (repealed), and the agencies' authority to set minimum capital requirements on a case-by-case basis.³³ The cited provisions, however, do not provide even a hint that Congress intended to grant FSLIC or the Bank Board the authority to commit Congress not to modify the governing statutes, or to immunize particular thrifts from the effects of statutory changes for periods of 25 to 40 years or more.

3. Respondents assert that this Court's decisions in *Lynch v. United States*, 292 U.S. 571 (1934), and *Perry v. United States*, 294 U.S. 330, 350 (1935), support their argument. See Glendale Br. in Opp. 19-20. That contention is mistaken.

Lynch and *Perry* involved government efforts to renege on purely financial contractual obligations—government-issued life insurance contracts in *Lynch*, the obligation to repay government bonds in gold in *Perry*. Such contracts do not limit the government's authority to regulate the conduct of private parties or entities for the public good. See *Lynch*, 292 U.S. at 580 (no suggestion that Congress "abrogate[d] these contracts in the exercise of the police or any other power").³⁴ See also David Toscano, Note, *Forbearance Agreements: Invalid Contracts for the Surrender of Sovereignty*, 92 Colum. L. Rev. 426, 455-456 (1992).

³³ The Court of Federal Claims also relied (Pet. App. 147a) upon statutory language providing that FSLIC could "in its sole discretion and upon such terms and conditions as [FSLIC] may prescribe" guarantee a thrift against loss from a merger. See 12 U.S.C. 1729(f)(2)(A) (1988) (repealed). But that section merely served to exempt such FSLIC determinations from review under the Administrative Procedure Act (5 U.S.C. 701(a)(2)); it did not delegate to FSLIC the authority to make contracts limiting Congress's power to impose regulations on all thrifts.

³⁴ Cf. *POSSE*, 477 U.S. at 55 ("Congress does not have the power to repudiate its own debts, which constitute 'property' to the lender, simply in order to save money.").

Lynch and *Perry* also illustrate the point that a general grant of the power to make contracts to an administrative agency is insufficient to grant the agency the authority to make contracts in derogation of the power of Congress to modify the law. *Lynch*, for example, involved "a policy for yearly renewable term insurance issued during the World War pursuant to the War Risk Insurance Act." 292 U.S. at 574 (footnote omitted). *Perry* involved a bond "issued pursuant to the Act of September 24, 1917." 294 U.S. at 346. As the Court's opinions in both cases make clear, the statutes at issue expressly authorized the relevant authorities, in the clearest possible terms, to enter into the precise kinds of contracts upon which the plaintiffs there relied. See, e.g., *Perry*, 294 U.S. at 348 ("The terms of the bond are explicit. They were not only expressed in the bond itself, but they were definitely prescribed by the Congress."). The delegations of general contracting authority on which respondents and the Federal Circuit relied here do not remotely satisfy that standard.

4. As this Court has stated, "anyone entering into an arrangement with the Government takes the risk of having accurately ascertained that he who purports to act for the Government stays within the bounds of his authority." *Federal Crop Ins. Corp. v. Merrill*, 332 U.S. 380, 384 (1947). Thus, even if respondents had obtained the promises they allege from the federal officials who allegedly made them, those promises would be unenforceable. In comparable circumstances, this Court has made clear that a party relying on the authority of a government agent may have his expectations disappointed. See *OPM v. Richmond*, 496 U.S. 414 (1990).

5. It is important to note that our position does not mean that the agreements that *were* made between respondents and the federal regulatory agencies were illusory or of little worth. The thrifts received substantial benefits from those agreements, even in light of the later changes made by FIRREA. They all obtained the bene-

fits of the Bank Board policy permitting them to count goodwill as capital for the period during which that policy was in effect—i.e., until FIRREA was enacted, eight years after the Glendale transaction, five years after the Winstar transaction, and nearly two years after the Statesman transaction. In Winstar and Statesman, the thrifts also received substantial infusions of federal cash and access to new markets. See note 5, *supra*. In Glendale, the thrift got an express commitment for protection from rising interest rates for four years, at a time when the thrift industry was under siege by "unprecedented high interest rates," J.A. 550, 591-593; ten years of indemnification against the unknown liabilities of Broward, J.A. 593-594; and a variety of short-term cash advances, J.A. 596-598. In addition, Glendale obtained access to new and potentially very lucrative markets in Florida, one of the top five thrift markets in the country. See J.A. 551.

III. RESPONDENTS' CLAIM FOR BREACH OF CONTRACT DAMAGES IS ALSO PRECLUDED BY THE SOVEREIGN ACTS DOCTRINE

1. This Court long ago held that "[w]hatever acts the government may do, be they legislative or executive, so long as they be public and general, cannot be deemed specially to * * * violate the particular contracts into which it enters with private persons." *Horowitz v. United States*, 267 U.S. 458, 461 (1925). That has come to be known as the sovereign acts doctrine. Where the alleged breach of contract by the government resulted from a "public and general" act, the government is immune from liability for breach of contract.

2. The sovereign acts doctrine is based on a principle of equality between the government and private contractors. See Pet. App. 40a (the "doctrine is intended to level the playing field between the government and its contractors"). Under ordinary principles of contract law, a party's duty to render performance is discharged when an intervening action by the sovereign, such as enactment

of a statute, precludes performance. See, e.g., 6 *Corbin on Contracts* § 1343, at 417 (1962) (when performance is prevented by intervening legislation, "there is no question that the duty of the party whose performance is thus prevented is discharged"). See also Restatement (Second) Contracts §§ 261, 262. The sovereign acts doctrine applies the same rule to the government as contractor. Where a performance of a contract made by a government agency is rendered impossible by a subsequent federal statute or other action that is a public and general act, performance of the contract by the agency is excused. The primary qualification on the doctrine is that the sovereign act relied upon to excuse performance be a "public and general" one. If it is not—if the sovereign act merely enables the government to evade its particular contractual obligations—then the rationale of the doctrine does not apply and the government's breach is actionable.

3. Thus, even if respondents had the contract rights that they claim, the United States would not be liable for contract damages if the governmental act that caused the breach of those rights was "public and general," and not taken merely to avoid contractual obligations to a particular party. See, e.g., *Deming v. United States*, 1 Ct. Cl. 190, 191 (1865), appeal dismissed, 76 U.S. (9 Wall.) 145 (1870); *Atlas Corp. v. United States*, 895 F.2d 745, 754-755 (Fed. Cir.), cert. denied, 498 U.S. 811 (1990); *Tony Downs Foods Co. v. United States*, 530 F.2d 367 (Ct. Cl. 1976); *Amino Brothers Co. v. United States*, 372 F.2d 485, 491 (Ct. Cl.), cert. denied, 389 U.S. 846 (1967). The statutory provisions of FIRREA that plaintiffs challenge in this case were such "public and general" acts.

FIRREA as a whole is plainly a "public and general" statute. It instituted a comprehensive overhaul of the regulation of the entire thrift industry, for the protection of depositors nationwide and in order to promote the general welfare. Moreover, even the specific provisions of FIRREA imposing new capital requirements did not

merely affect alleged contractual commitments from the regulatory agencies permitting thrifts to count goodwill as capital for purposes of meeting whatever federal capital requirements might be in effect. These new provisions regulating the use of goodwill were general ones, sharply curtailing the ability of *any* thrift, as of the effective date of FIRREA, to count most intangible assets as capital, regardless of whether those assets had ever been at issue in any arrangement with federal regulators.

The relevant question in determining whether a legislative action is a "public and general act" under the sovereign acts doctrine is not whether a particular party is affected by the governmental action at issue; it is whether the impact on a particular party or parties is caused by a law enacted to govern regulatory policy and to advance the general welfare. The FIRREA provisions involved in this case satisfy that standard. The sovereign acts doctrine accordingly would preclude liability for breach of contract here even if the alleged agreements upon which respondents rely had been included in their contracts with the federal agencies.

4. The Federal Circuit found the sovereign acts doctrine inapplicable because "the relevant sections of FIRREA are not public and general sovereign acts." Pet. App. 39a. In the court's view, that conclusion follows because provisions of FIRREA specifically refer to supervisory goodwill. Because of those provisions, the court concluded that FIRREA's new regulations of capital constituted legislation that is not "public and general" but whose "principal effect is to abrogate specific contractual rights." *Id.* at 40a.

The FIRREA "transition rule[s]," Pet. App. 42a, on which the court of appeals relied make limited exceptions to some of FIRREA's restrictions on the use of intangible assets for thrifts with supervisory goodwill, including thrifts in respondents' position. As the Federal Circuit recognized, these rules were designed to place respondents in a *better* position than other thrifts and in a better

position than they would have been had no such exceptions been made: "The statute plainly singles out supervisory goodwill for special treatment, *albeit treatment less harsh than other forms of intangible assets.*" *Ibid.* (emphasis added). Congress thus meant to soften the impact of the new capital requirements on thrifts that had entered into mergers or acquisitions during the crisis in the thrift industry. The fact that transition rules in the statute granted respondents a partial exception from more generally applicable restrictions—an exception that did not have to be granted—could not possibly mean that the restrictions themselves, insofar as they continued to apply to respondents, were not "public and general acts."

CONCLUSION

The judgment of the court of appeals should be reversed.

Respectfully submitted.

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